

around support zones while novice investors, who have not gotten the word, buy the stock. When they finish placing their orders, the meager buying demand abates and the stock crashes through the lower trendline and heads down.

Identification Guidelines

There are a number of identification guidelines, outlined in [Table 12.1](#), that make this formation unique. As I discuss the different guidelines, consider the ascending broadening wedge depicted in [Figure 12.3](#). This formation is different from [Figures 12.1](#) and [12.2](#) in that it is born from a region of consolidation. From the beginning of the study in July 1991 (not shown), price moves generally horizontally and does not fall much below the 15.38 level. A portion of that horizontal move appears in the figure before the start of the wedge.

[Table 12.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a megaphone, tilted up, with price action that outlines two up-sloping but diverging trendlines.
Trendlines	The top trendline has a steeper upward slope than the lower one and neither is horizontal.
Touches	There should be at least five distinct touches (or near touches) of the trendlines (three on one side and two on the other). This helps assure proper identification. Each touch should be a minor low or minor high, not when price slices through the pattern's trendline.
Whitespace	Select patterns where price crosses the wedge from top to bottom frequently, filling the whitespace.
Volume	Irregular with a tendency to rise over the length of the chart pattern. Do not discard a chart pattern because of an unusual volume trend.
Breakout direction	The breakout direction is almost random, but it favors a downward direction slightly more often than upward.